IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO. : 19/4-1780/21

BETWEEN

NIK AFIQ FARHAN BIN NIK HILMI

AND

MALINDO AIRWAYS SDN BHD

AWARD NO: 1910 OF 2025

Before	:	Y.A. Puan Hajah Zalina Binti Haji Awang @ Mamat - Chairman (Sitting Alone)
Venue	:	Industrial Court Malaysia, Kuala Lumpur
Date of Reference	:	30.04.2021
Dates of Mention	:	15.06.2021, 22.07.2021, 18.10.2021, 11.04.2022, 04.04.2023, 25.05.2023, 26.05.2023, 12.07.2023, 22.08.2023, 11.09.2023, 07.01.2025, 05.02.2025
Dates of Hearing	:	16.04.2025, 19.09.2025
Representation	:	Mr. Iylia Hakim bin Abdul Wahid From Messrs Hakim Abdul Wahid & Co. Counsel for the Claimant Mr.Jeyendran Ramachandran From Messrs. Deva & Jeyen Counsel for the Company

REFERENCE:

This is a reference made under Section 20(3) of the Industrial Relations Act 1967 [Act 177] pertaining to the dismissal of **NIK AFIQ FARHAN BIN NIK HILMI** (hereinafter referred to as ''the Claimant'') by **MALINDO AIRWAYS SDN BHD** (hereinafter referred to as ''the Company'') on **1 November 2020.**

AWARD

[1] This Minister reference required this Court to hear and determine the Claimant's complaint of dismissal on **1 November 2020** by the Company.

Factual Background

[2] This matter is heard jointly with two other claims arising from the same retrenchment exercise, namely Foong Wai Ming (Case No.: 19/4-1781/21) and Muralitharan A/L Maniam (Case No.: 19/4-1779/21). The Claimant in the present case, Nik Afiq Farhan Bin Nik Mohd Hilmi, is registered under Case No.: 19/4-1780/21, and all three matters are tried together due to their common factual matrix and overlapping legal issues.

[3] The Claimant was employed by Malindo Airways as a Senior First Officer on 19 November 2015, with a basic salary of RM9,000.00 and customary benefits. Throughout his tenure, the Claimant's service record was unblemished, with no performance issues or disciplinary sanctions. In April 2020, against the backdrop of the COVID-19 pandemic, the Company began withholding full payment of his salary. From April to October 2020, the Claimant received only partial pay, without explanation. Concurrently, the Company took steps that created uncertainty about the Claimant's status: his company iPad and staff ID were demanded to be returned and his email access was blocked, without clarification.

[4] In May 2020, the Company offered the Claimant a Voluntary Separation Scheme ("VSS") as a cost-saving measure, cautioning that refusal might jeopardize his continued employment. The Claimant declined the VSS, expressing his desire to remain employed. In June 2020, the Company urged him to apply for a Long-Term Unpaid Leave ("LTU") scheme purportedly to preserve his employment. Believing this to be a safeguard, the Claimant applied for LTU, only later to refuse to sign the final LTU agreement in July 2020 due to its onerous terms.

[5] By late October 2020, the Claimant sought clarification of his status but received no reply from the Company. Instead, on 2 November 2020 he

was served with a retrenchment notice dated 30 October 2020, stating that his employment would terminate on 1 November 2020, only two days after the date of the letter. The Claimant discovered that other pilots, some with shorter service and lower rank, were retained while he was selected, in apparent departure from any strict Last-In-First-Out ("LIFO") principle. He also learned that although statutory deductions (e.g. EPF) were made from his salary, the Company had failed to remit those contributions.

[6] The Company's stated case is that it suffered severe financial losses due to COVID-19 travel restrictions and took various cost-saving measures (reduced hours, hiring freeze, LTU,) before resorting to retrenchment. It contends that the retrenchment was conducted in good faith, in accordance with the LIFO principle and the Code of Conduct for Industrial Harmony, and that all statutory and contractual requirements were met. The Claimant disputes these assertions and maintains that the retrenchment was not bona fide, was procedurally unfair, tainted by bad faith or victimisation, and that the Company failed to exhaust alternatives or consult properly.

REFERRED CAUSE PAPERS

[7] The following are the cause papers filed before this Honourable Court:

No.	Cause Papers	Marking
1.	Statement of Case dated 02.08.2021	-
2.	Statement in Reply dated 01.08.2022	-
3.	Company's Bundle of Documents	COB-1(2)
4.	Company's Bundle of Documents	COB-2(2)
5.	Claimant's Bundle of Documents	CLB-1(2)
6.	Company's Witness Statement (Andriaty Binti Abdul Rahman)	COWS-1
7.	Company's Witness Statement (Visvaratnam a/l Sabaratnam)	COWS-2
8.	Claimant's Witness Statement	CLWS-1

SALIENT FACTS

THE CLAIMANT'S CASE

[8] The Claimant's sole witness is Nik Afiq Farhan Bin Nik Mohd Hilmi, while the Company called two witnesses, namely: COW-1, Andriaty Binti Abdul Rahman, and COW-2 Visvaratnam a/l Sabaratnam.

[9] The Claimant, Nik Afiq Farhan bin Nik Mohd Hilmi, was employed by the Company, Malindo Airways Sdn Bhd, as a Senior First Officer pursuant to a letter of appointment dated 17 November 2015. He accepted the offer and commenced employment on 19 November 2015, drawing a monthly

basic salary of RM9,000.00 along with flight allowances and contractual benefits such as medical insurance and accommodation.

[10] Throughout his tenure, the Claimant performed his duties diligently, maintained an unblemished service record and was never subjected to any disciplinary action or performance concern. His performance and conduct were consistently aligned with the Company's operational expectations.

[11] In April 2020, the Company began withholding full payment of salary and allowances. From April to October 2020, the Claimant only received partial payments, in breach of his contract and without justification, despite raising queries that went unanswered.

[12] During this period, the Company unilaterally instructed the Claimant to return his company-issued iPad and staff ID and simultaneously blocked his office email access, further exacerbating his uncertainty about his employment status. No explanation was provided.

[13] In May 2020, the Company offered the Claimant a Voluntary Separation Scheme (VSS), with an express warning that refusal might result in termination. The Claimant refused the VSS, indicating his intention to remain employed.

[14] In June 2020, the Company urged the Claimant to apply for a Long-Term Unpaid Leave (LTU) scheme to preserve his employment.

[15] Believing it to be a safeguard against retrenchment, the Claimant applied for it without knowledge of its terms at the time of application. Upon later receiving and reviewing the actual LTU Agreement in July 2020, he refused to sign the LTU due to its one-sided terms.

[16] On 27 October 2020, the Claimant, through his solicitors, issued a formal letter seeking explanation and clarification on his employment status. The Company provided no reply.

[17] Instead, on 2 November 2020, the Claimant received an email enclosing a letter dated 30 October 2020, notifying him that he was being retrenched with effect from 1 November 2020.

[18] At the time of the Claimant's dismissal, there were other pilots who were junior in length of service and less senior in position who were not retrenched, in breach of the Last in First out (LIFO) principle. No justification was provided for the deviation.

[19] Following his dismissal, the Claimant also discovered that despite

regular EPF deductions from his monthly salary, the Company had not remitted the contributions to KWSP, thus violating statutory obligations.

[20] The retrenchment was effected without proper warning, consultation, or any genuine attempt to explore alternative employment or internal redeployment. The Claimant contends that the Company had already implemented other cost saving measures such as the VSS and LTU, which made retrenchment unnecessary and premature.

[21] The Claimant's case is premised on the argument that the retrenchment was not *bona fide*, was procedurally flawed and constituted an unfair labour practice. The Claimant's evidence with the extensive Written Submissions raise the following core contentions:

A. Lack of Bona Fide Financial Necessity

[22] The Claimant challenges the Company's assertion that it was in a worsening financial crisis at the precise moment of retrenchment. Relying on the Company's own financial data (COB-1(2), p. 153), the Claimant points out that the Company's margin of loss had actually improved from -153% in September 2020 to -110% in October 2020 (the month of retrenchment). Furthermore, revenue increased by RM2 million in that period. The Claimant

argues that retrenchment during a period of "recovery" is suspect, citing the principle in **Osram Opto Semiconductors (Malaysia) Sdn Bhd V. Ooi Mei Chin [2024] 31LR12**.

B. Breach of the Last-In-First-Out (LIFO) Principle

[23] The Claimant contends that the Company failed to adhere to the LIFO principle. He asserts that pilots junior to him in length of service were retained while he was retrenched. He argues that the Company failed to produce a comprehensive list of all pilots (both retained and retrenched) to prove its compliance with LIFO. The list produced (COB2 (3)) contained only names and hire dates of retrenched staff, without comparative data on retained staff, skills, or qualifications.

C. Procedural Unfairness and Lack of Consultation

[24] The Claimant submits that the retrenchment process violated the Code of Conduct for Industrial Harmony. Specifically, he cites the lack of "early warning" (Clause 22(a)) and the failure to consult with employees (Clause 20-24). He argues that the "town hall" meetings cited by the Company were unilateral briefings, not genuine consultations. The 48-hour

notice period (30 Oct 2020 to 1 Nov 2020) is highlighted as evidence of a rushed and arbitrary process.

D. Victimization and Bad Faith

[25] The Claimant alleges that the selection for retrenchment was tainted by victimization. He points to the fact that employees who accepted the LTU scheme had their training bonds waived, while those who refused (like himself) were retrenched. He argues that the LTU was used as a mechanism to filter employees and retrenchment was a penalty for refusal.

E. Adverse Inference

[26] The Claimant places significant weight on the Company's failure to call two material witnesses: Mr. Muzaffar (General Manager of Human Resources) and Capt. Syafiq (Flight Operations). The Claimant argues that these individuals were the actual decision-makers who compiled the retrenchment list. Despite obtaining a Court order to call them, the Company failed to do so. The Claimant invokes Section 114(g) of the Evidence Act 1950 and the authority of **Takako Sakao V. Ng Pek Yuen & Anor [2009] 5 CLJ 200; [2009] 6 MLJ 751, t**o argue that the Court should infer their evidence would have been unfavourable to the Company.

THE COMPANY'S CASE

[27] The Company, Malindo Airways Sdn. Bhd. ("the Company"), contends that the retrenchment exercise affecting the Claimant, Nik Afiq Farhan Bin Nik Mohd Hilmi, was necessitated by the severe financial hardship caused by the COVID19 pandemic. The Company states that from early 2020, global travel restrictions, including domestic and international flight bans, directly impacted the aviation industry and led to unprecedented financial losses.

[28] In response, the Company claims it implemented various cost-saving initiatives to avert retrenchment, including:

i. Reduction in work hours

ii. Limitation on recruitment

iii. Reduction in shifts and days worked

iv. Restrictions on overtime

v. Implementation of the Long-Term Unpaid Leave (LTUL) scheme

These measures, the Company argues, were communicated to employees through memos, emails, face-to-face meetings, and online platforms like Google Chat and Hotline.

[29] The Company maintains that despite these measures, the financial strain persisted, making retrenchment inevitable. The Claimant was among the employees retrenched, with the Company asserting that:

i. The retrenchment was executed in accordance with the Last in First out (LIFO) principle.
ii. The retrenchment process complied with the Code of Conduct for Industrial Harmony.
iii. The Voluntary Separation Scheme (VSS) was offered to all staff without coercion or discrimination.

[30] The Company denies all allegations of arbitrary treatment, breach of contract, or lack of communication. It contends that all procedures were executed bona fide and that training bond waivers and LTUL schemes were consistent with internal policies and communicated clearly.

[31] The Company asserts that:

i. The retrenchment was lawful and justified under the circumstances.
i. The Claimant was not unfairly targeted or misled.
ii. All statutory, contractual, and procedural requirements were met.

[32] Since its inception and in the aftermath of the Covid-19 outbreak, the business performance of the Company has been deteriorating and its revenue had been drastically decreasing following the travel ban on foreign tourist and the government restrictions imposed on domestic and international air travel.

[33] The Company was in a dire financial situation since the inception of pandemic. The Company also strictly complied with the MCO rules and government regulations. This led the Company's to "do the necessary including notifying all its passengers, lessors and creditors and to take all necessary actions deemed appropriate".

[34] The Company then issued numerous Memo's since February 2020 (in accordance with clause 7.3 of the employment agreement) in which, the Company had taken cost cutting measures by carrying out the following steps:

i. Cost Cutting Initiatives To Stay Afloat dated 7/2/2020 and Immediate Cost Savings Measures 19/2/2020
ii. Voluntary Unpaid Leave Program 28/2/2020
iii. Internal And External Training Request 28/2/2020
iv. 2 Weeks Unpaid Leave 6/3/2020

v. Loan Moratorium 10/3/2020

vi. Follow Up Memo On Covid-19 10/3/2020

vii. Malaysian Government - Nationwide Movement Control Order Directive On Covid-19 18/3/2020

viii. Work From Home 19/3/2020

ix. Employment Retention Program (ERP) 23/3/2020

x. Continuing Business Disruption Due To Covid-19 Pandemic 26/3/2020

xi. EPF Withdrawal Under I Lestari 6/4/2020

xii. Malaysian Government's Covid-19 Assistance Schemes 6/4/2020

xiii. Cancellation Internship Programme 7/4/2020

xiv. Temporary Suspension - Casual Employment Au 13/4/2020

xv. Updates Due To The Continuing Limited Business Operations 13/4/2020

xvi. Prihatin Screening Program - SOCSO (Revised) 12/5/2020

xvii. Announcement Of Voluntary Separation Scheme (VSS) 1/6/2020

xviii. Work Policy For June & Till Advised Further 2/6/2020

xix. Offer Of Voluntary Long Term Unpaid (LTU) 17/6/2020

xx. The ERP Programme Covid19 Financial Aid 25/6/2020

xxi. Follow Up On Business Disruption Due To Covid19 Pandemic 3/7/2020

xxii. Memo Update On Continuing Business Progress 6/8/2020

xxiii. Announcement Of Retrenchment 28/10/2020

[35] The aforesaid cost-cutting memos were marked as exhibit MA-1 seeing MA-25 COB-1. The cost cutting memos were given to all the staffs including the claimant.

[36] As a result of Movement Control Order and extended MCO's and government restriction on international and domestic air travel, the Company was brought and the Company was unable to generate its revenue, which adversely affected its aviation business.

[37] Apart from losing its revenue and incurring expenses in its business, the continuous restrictions in air travel have saddled the Company with debts. There was no avenue left for the Company to generate its revenue. Due to ongoing pandemic, the Company made decision to retrench their surplus staffs or employees in order to sustain survivability.

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[41] The Company defends the dismissal as a lawful exercise of managerial prerogative, driven by external economic forces beyond its control. The Company's evidence through Written Submissions, COW-1, COW-2, Bundle of Document COB-1 (2) and COB-2 (2) advance the following arguments:

A. Genuine Financial Ruin

[42] The Company asserts that the pandemic caused a total collapse of its business model. It relies on audited financial statements (COB-1(2) and COB-2(2) showing revenue falling from RM2.5 billion in 2019 to RM650 million in 2020. The Company witness (COW-1) testified that without the retrenchment, the Company would have incurred additional losses of RM644

million, leading to total insolvency. The Company characterizes the Claimant's "recovery" argument (based on monthly loss margins) as a misinterpretation of the severity of the crisis.

B. Exhaustion of Alternatives

[43] The Company maintains that it took every possible step to avoid retrenchment. It points to the detailed chronology of cost-cutting measures (for example salary cuts, unpaid leave, VSS) implemented over eight months. The Company argues that retrenchment was undeniably a measure of last resort.

C. Compliance with LIFO

[44] The Company insists it followed the LIFO principle strictly for the Co-Pilot category. COW-2 testified that the Claimant (Employee ID MO2546) was at number 71 on the retrenchment list, while the last retained Co-Pilot (ID MO1249) was senior to him. The Company argues that all 25 retained Co-Pilots were senior to the Claimant and that no junior pilots were kept.

D. Managerial Prerogative

[45] Citing **William Jacks & Co (M) Sdn Bhd V. S. Balasingam [1999] 3 CLJ 235, 3MLJ411**, the Company submits that it is the employer's

prerogative to organize its business. As long as the decision is made bona fide to ensure business survival, the Industrial Court should not interfere.

E. Precedent: Syafiq Hamdi' Case

[46] The Company relies on a recent award, **Syafiq Hamdi bin Shushilil Azam V. Malindo Airways Sdn Bhd (Award No. 646 of 2025),** where the Industrial Court upheld the retrenchment of another co-pilot from the same exercise. The Company argues that this precedent validates their LIFO application and financial justification.

Legal Issues

[47] The sole issue is whether the termination of the Claimant was with *just cause or excuse*. In an unfair dismissal reference under s.20 (3) of the Industrial Relations Act 1967, the Court's duty is to determine "whether the termination or dismissal is with or without just cause or excuse". If the employer gives a reason for dismissal, the Court must inquire whether that reason has been made out in evidence. Retrenchment is a dismissal in operational redundancy, so *s.30* of the Act applies, the Company must show a genuine redundancy situation and that the dismissal was made in good faith (s.30 (5) IRA).

[48] Normally retrenchment selections follow the industry-recognised "last-in-first-out" rule; deviations are allowed only for *valid and bona fide reasons*. The Company must prove on balance that the Claimant's post had indeed become redundant and that his retrenchment was not a sham (**Goon Kwee Phoy V. J&P Coats [1981] 2 MLJ 127; Ng Chang Seng V. Technip Geoproduction [2021] 1 MLJ 447).** The Court apply these principles to the evidence.

THE LAW ON REDUNDANCY

[49] It is imperative to consider the law on redundancy prior to considering the conduct of the Company, as it will show that the Company at all times acted in a bona fide manner and the redundancy was bona fide. Therefore, it will be evident that the Company complied with the principles of law.

[50] The adjudication of retrenchment disputes in Malaysia is governed by a well-established framework of legal principles derived from the Industrial Relations Act 1967 and judicial precedent

[51] In the Court of Appeal case of **William Jacks & Co (M) Sdn Bhd V. S Balasingam [1999] 3 CLJ235,3 MLJ 411,** redundancy was defined as follows:

"Retrenchment" has been defined as the discharge of surplus labour or staff by an employer for any reason whatsoever. Whether the retrenchment exercise in a particular case is bona fide or otherwise is a question of fact and of degree depending in the peculiar circumstances of the case. It is well settled that the employer is entitled to organize his business in the manner he considers best. So long as the managerial power is exercised bone fide, the decision is immune from examination even by the Industrial Court. However, the Industrial Court is empowered and indeed duty bound to investigate the facts and circumstances of the case to determine whether the exercise of power is in fact bone fide".

The Definition and Right to Retrench

[52] The term "retrenchment" was authoritatively defined by the Court of Appeal in **William Jacks & Co (M) Sdn Bhd V. S. Balasingam 3 CLJ 235 [supra]** as:

"The discharge of surplus labour or staff by an employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action."

[53] The Court further held that the right to reorganize business is a managerial prerogative. Provided the decision is made *bona fide* (in good

faith), it is immune from interference. However, the Industrial Court is "duty-bound to investigate the facts and circumstances of a particular case to determine whether that exercise of power was in fact bona fide."

[54] In the case of **Stephen Bong V. Fcb (M) Sdn Bhd [1999] 3 MLJ 411** redundancy has been stated as follows:-

''that it is not that the law that redundancy means the Job or work no longer exist. Redundancy situations arise where the business requires fewer employees of whatever kind".

[55] Redundancy has also been considered, where the Company has to close down or downsize the business, as stated in the case of **Yusoff Othman V. Felda Engineering Services Sdn Bhd [Award No 778 OF 2022],** where it was stated that:-

"It is well established in industrial jurisprudence that an employer is entitled to close down the whole of part of his business as long as he acts bona fide. The right to reorganize a business and/or a company's restructuring is a managerial prerogative. "

In the said case, the Court further stated that: -

"It Is well established that it is for the management to decide the strength of its staff which it considers necessary for efficiency in its undertaking. The Court will not intervene unless it is shown that the decision was capricious or

without reason or was made mala fide or was actuated by victimization or unfair labour practice... the employer has a right to determine the volume of his labour force consistent with his business and organization and if the implementation of a reorganization scheme adopted for reasons of economy and better management of the business, the services of some of the employees become excess of the requirement of the business, the employer is entitled to discharge such excess".

[56] The right of a Company to reorganize is evident from the case of **Thomas Hans Raab V. Nokia Services And Networks Malaysia Sdn Bhd [2022] 3 ILR 371 and George Kent (M) Sdn Bhd V. Tan Tai Wai, Mak Kin Kung & Wong Khoon Sand [1988] 1 ILR 342** where it is stated that: -

"Redundancy connotes that the functions of the Claimant became excess. It is settled law that it is up to the Company to decide the strength of its staff which it considers necessary for efficiency its undertaking... ".

[57] In view of the above, it is indisputable and accepted industrial jurisprudence, that a company has every right to reorganize or to restructure the Company, so as to maintain operational and financial sustainability so as to avoid any complete shutdown of the winding up of a Company.

[58] A case similar to the situation as in the matter before this Honourable

Court, **Mohd Nor Hassan & Ors V. Continental Sime Tyre PJ Sdn Bhd [2014] 3 ILR 144** where the expenses were reduced and thereafter the redundant staff were terminated, where the Court found that retrenchment was bona fide. The Court stated that:-

"..the measures taken by the company were insufficient and the company was compelled to undertake a retrenchment exercise. The company carried out a reorganisation exercise if the manufacturing department of the company in Petaling Jaya which resulted in a total of 70 employees including the claimant who were found to be redundant and were accordingly retrenched.. ".

[59] Further, in the case of **Vithylingam Letchumanan V. Ice Room Food & Beverage Management Sdn Bhd [2015] 4 ILR 655**, the Court on the issue of rights of a company stated that:-

"It is the right of every employer to reorganize his business in any manner for the purpose of economy or convenience. The law recognises that a company has the right to organize its business in the manner it considers best".

THE TERMINATION OF THE CLAIMANT BY REASON OF REDUNDANCY

[60] In the case of **How Zheng Hong V. Air Asia Berhad [2023] 3 ILR 113**, the Court considered the Aviation Industry and stated that:-

"It is common knowledge that the aviation industry was among the worst affected industries by the COV/D-19 pandemic. The pandemic wrecked financial devastation across the aviation value chain, most notably for airlines save and except for freight forwards and cargo airlines. The grounding of aircrafts by the company is genuine".

[61] In the case of **George Kent (M) Sdn Bhd V. Tan Tai Wai, Mak Kin Kung & Wong Khoon Sang [1992] 2 ILR 400**, redundancy and the situation that prevails has been stated as follows:-

"We are in full agreement with the learned author C.P, Mills on Industrial Disputes Law in Malaysia, that it is settled law that it is up the Company to decide the strength of its staff which it considers necessary for the efficiency in its undertaking and the Court will not interfere unless it is shown that the decision was capricious or without reason or was mala fide or was actuated by victimisation or unfair labour practice."

[62] In the case of **Premalata Vincent Ramesh V. Nestle Products Sdn Bhd [1992] 3 ILR 277**, the Court stated that in determining that the dismissal was done with just cause or excuse by the retrenchment exercise undertaken by the company, this Court will ask these pertinent questions:-

(i) *Whether there was a genuine need for reorganization exercise by the company;*

(ii) *Whether a genuine redundancy situation had a rise and which led to the retrenchment of the claimant; and*

(iii) *Whether the company had complied with the accepted standards and procedure when selecting and retrenching the claimant.'*

The Principles from Ng Chang Seng

[63] The recent landmark decision of the Court of Appeal in **Ng Chang Seng V. Technip Geoproduction (M) Sdn Bhd & Anor 1 MLJ 447** has significantly raised the bar for employers. The key principles established are:

a) **Selection Criteria:** The employer must provide clear evidence explaining *why* a specific employee was selected over others.

b) **Comparative Evidence:** To prove redundancy and fair selection, the court must look at the employees who were *retained* as well as those retrenched. A failure to produce comparative data is fatal.

c) **LIFO:** To justify a departure from LIFO, clear evidence of special skills possessed by retained juniors must be shown.

d) **Foreign Labour:** Employers should retrench foreign workers before locals unless there are overriding reasons (though less relevant to the facts here, the principle of rigorous selection scrutiny applies).

The Code of Conduct for Industrial Harmony

[64] While the **Code of Conduct for Industrial Harmony** is not a statute, judicial decisions such as *Equant Integration Services* and *Ng Chang Seng* have elevated its status to the "gold standard" of industrial practice. Failure to comply with the Code, particularly regarding consultation and early warning, can be evidence of *mala fides*.

THE FUNCTION OF THE INDUSTRIAL COURT

[65] The role of the Industrial Court pertaining to a reference under section 20 (3) of the Industrial Relations Act 1967 is to ask itself a question whether there was a dismissal; and, if so, whether it was with or without just cause or excuse **Wong Chee Hong V. Cathay Organisation (M) Sdn Bhd [1988] 1 MLJ 92; [1987] 1 MLRA 346**.

Burden Of Proof on Employer to Prove Genuine Redundancy

[66] The primary responsibility lies with the employer to establish that the redundancy is genuine. It is insufficient to merely assert financial constraints or lack of work. The Industrial Court, in **William Jacks & Co. (M) Sdn Bhd V. S. Balasingham [1997] 3 CLJ 235**, affirmed that the employer must provide credible evidence to justify retrenchment. Employers must not use redundancy as a convenient excuse to terminate employees for other reasons, such as poor performance or personal bias.

[67] As a result of the financial difficulties, the Company had embarked on a cost-cutting and reorganization exercise, where it ultimately led to some of its employees being unfortunately retrenched from the employment. The Claimant was one of those selected for retrenchment.

[68] In order for an employee to be retrenched from his employment, the burden is on the employer to prove that there was a redundancy in the first place. The term redundancy is defined by Dunston Ayadurai in his book **Industrial Relations in Malaysia (2nd Ed.)** at p. 159:-

"*Redundancy refers to a surplus of labour and is normally the result of a reorganisation of the business of the employer; and its usual consequence is*

*retrenchment, i.e. the termination by the employer of those employees found to be surplus to his requirements after the organisation. Thus**, there must first be redundancy or surplus of labour before there can be retrenchment or termination of the surplus***".

(Emphasis added)

[69] Once redundancy had occurred in any particular position, a retrenchment exercise may then be carried out by the employer to discharge the surplus labour. This was explained in the case of **William Jacks & Co (M) Sdn Bhd V. S Balasingam [1997] 3 CLJ 235 [supra]** where the Court of Appeal defined the term "*retrenchment*" as follows:-

"*Retrenchment had been defined as the discharge of surplus labour or staff by the employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action (***per SK Das in Hariprasad V. Divelkar AIR [1957] SC 121 at p 132***). **Whether the retrenchment exercise in a particular case is bona fide or otherwise is a question of fact and of degree depending on the peculiar circumstances of the case**".

(Emphasis added)

[70] Thus, a situation of redundancy in a job position must occur in the first place before the subsequent exercise of retrenchment is carried out whereby the employer will then set out to discharge those employees whose position

had already been identified as redundant. This was succinctly explained in the book **Retrenchment Law and Procedure in Malaysia** by Thavalingam Thavarajah & Raymond TC Low (*at pp. 4 – 5*):-

"***An employee is said to be 'redundant' when their job is no longer available and the employer either cannot offer the employee any alternative position or, any alternative position offered by the employer cannot be accepted by the employee concerned. Redundancy occurs where the employer's requirements for employees to carry out work of a particular kind has ceased or diminished****. Where the same number of employees is no longer required by the employer's business, then that will result in a redundancy. There is redundancy where:*

(i) *The number of employees required to carry out work of a particular nature is reduced, or is expected to be reduced and this results in dismissals; or*

(ii) *The work itself ceases or diminishes permanently or temporarily, or is expected to do so, so that fewer employees are needed and this results in dismissals*.

In summary, ***'retrenchment' is the expression used to describe what occurs to an employee whose employment is terminated by reason of***

their job becoming redundant. 'Redundancy' is the process of identifying employees who are surplus to the organisation's requirements and the end result is the retrenchment of such employees".

(Emphasis added)

[71] In **Sistem Televisyen Malaysia Bhd & Anor V. Suzana Zakaria [2005] 1 ILR 853** it was held:-

"*The learned author, Dunstan Ayadurai, in his book* 'Industrial Relations in Malaysia' *at p. 121 defined redundancy as follows:*

Redundancy refers to a surplus of labour and is normally the result of reorganization of the business of an employer; and its consequence is retrenchment, i.e. the termination by the employer of those employees found to be surplus to his requirements after the reorganization. Thus, there must first be redundancy or surplus of labour before there can be retrenchment or termination of the surplus.

"In ***Soonavala's*** 'The Supreme Court on Industrial Law' Vol. 11, 2nd Edition *at p. 424, the learned author stated:*

"Retrenchment is a necessary incidence of running an industry, but retrenchment is justified only when due to shrinkage of work, whether permanently or for an indefinite or indeterminate period, there has arisen a surplus in the number of workmen in the employment of a Company.

Therefore, when a Company gives notice of retrenchment to its workmen and the dispute arising therefrom is referred to a tribunal, the only question for its decision are (a) whether the retrenchment was justified by the circumstances of the case (b) whether the grounds for the retrenchment given by the Company are true, that is, whether there had in fact occurred a reduction in the business of the Company due to circumstances such as scarcity of raw materials on the availability of which the running of the factory depends, or stoppage of work under the orders of government or changes in the economy which made it impossible to continue the business except at a loss or on meagre profits, and (c) whether the order of retrenchment was motivated by bad faith and a desire to victimize or harass the workmen whom for some ulterior reasons the employer wanted to discharge or dismiss. Additionally the High Court in **Stephen Bong V. Fcb (M) Sdn Bhd [1999] CLJ 131; [1999] 1 LNS 131; [1999] 3 MLJ** 411 *held that:*

It is settled law now that redundancy does not mean the job or work no longer exist. Redundancy situation may arise where the business requires fewer employees of whatever kind.

Hence to justify the retrenchment, there must first be redundancy. To prove redundancy, the company must prove that there is surplus of labour or that the requirement of the job functions of the employee has ceased or has greatly diminished to the extent that the job no longer

exists or that the business requires fewer employees of whatever kind resulting from a reorganisation exercise or due to whatever other legitimate reasons*".*

(Emphasis added)

[72] In **Woo Chee Khoon V. Citibank Berhad [2011] 2 LNS 495** it was held:-

"*Before there can be retrenchment or termination of the surplus, there must be redundancy or surplus of labour. It is for the management to decide on the strength of the staff, which it considers necessary for efficiency in its undertaking. When the management decides that workmen are surplus and that there is therefore a need for retrenchment, an arbitration tribunal will not intervene unless it is shown that the decision was capricious or without reason, or was mala fide, or was actuated by victimization or unfair labour practice. It is the right of every employer to reorganize its business in any manner for the purposes of economy or convenience, provided it acts* bona fide".

(Emphasis added)

[73] In the case of **Yusoff Othman V. Felda Engineering Services Sdn Bhd,** Award No, 778 Of 2022 it states that the term "redundancy" has been defined as:-

"Redundancy refers to a surplus of labour and is normally the result of a reorganization of the business of an employer; and its usual consequence is retrenchment, i.e. termination by the employer of those employees found to be surplus to the requirement after the reorganization. Thus, there must be first be redundancy or surplus labour before there can be retrenchment of termination of the surplus".

[74] A critical factor in determining the fairness of a retrenchment exercise is the application of the LIFO principle, where the employer must prioritize the retention of longer -serving employees over newer ones. In **Dynacraft Industries Sdn Bhd V. Kamaruddin bin Kana Mohd Sharif & Ors [2012] 6 MLJ 453**, the Federal Court held as follows:

"[13] We will deal with the first question posed in this appeal. It concerns the correctness of the application of the LIFO principle by the Industrial Court. The LIFO (last in first out) or 'last come first go' principle requires the most junior employee to be retrenched before the more senior ones in the same category. The principle is intended to afford a healthy safeguard against discrimination of workmen in the matter of retrenchment (as at **Swadesamitran Ltd V. Their Workmen, 1960 (SC) 762***). Explaining this principle, in Workmen of Sudder Workshop of Jorehaut Tea Co Ltd The*

Management of Jorehaut Tea Co Ltd AIR 1980 SC 1454, the Supreme Court said:

The rule is that the employer shall retrench the workman who came last, first, popularly known as 'last come first go'."

[75] For the reasons stated above, it is evident that the Claimant's termination on the grounds of redundancy was not conducted in good faith. The Company has failed to adhere to the principles of fairness, including the burden of proof, application of LIFO, exploration of alternatives, and transparency in its decision-making process.

ISSUES FOR DETERMINATION

(a) Was the Claimant's dismissal with just cause or excuse under Section 20(1) Industrial Relation Act 1967 [ACT 177].

(b) Was there a genuine redundancy and bona fide closure and termination of the Claimant.

(c) Did the Company comply with the Code of Conduct for Industrial Harmony 1975, including the principles of consultation, LIFO, and transparency.

(d) Was the Claimant's dismissal procedurally fair and in accordance with the principles of industrial justice and natural justice.

(e) What is the appropriate remedy if the dismissal was without just cause or excuse.

THIS HONOURABLE COURT'S EVALUATION

a) Whether There Was Just Cause or Excuse

[76] The burden of proof lies on the employer to affirmatively justify that the dismissal was with just cause or excuse as per **Goon Kwee Phoy V. J & P Coats (M) Sdn Bhd [1] 2 MLJ 129 (Federal Court).**

b) Whether There Was Bona Fide Redundancy and Closure

[77] While retrenchment may be justified if a business faces genuine closure, this must be supported by clear evidence and must be bona fide, not a mask for selective unfair removal as at **Ireka Construction Berhad V. Chantiravathan Subramaniam James 2 ILR 11 (Federal Court).**

[78] This factual matrix closely mirrors principles established by the Federal Court in **Holiday Inn, Penang V. National Union Of Hotel, Bar & Restaurant Workers 1 MLJ 130,** where contradictions in the defines and continuing business activity nullify the genuineness of alleged redundancy. The Court is not satisfied that the Company proved an irreversible and total

cessation as asserted. The documentary record exposes substantial contradictions and an absence of transparency and can be dour in the Company's position.

c) Procedural Fairness & Adherence to Code of Conduct

[79] Employer obligations prior to retrenchment are prescribed by the Code of Conduct for Industrial Harmony 1975: consultation, consideration of alternatives to retrenchment, application of the LIFO (Last-In-First-Out) principle (unless objectively justified departure is proven) and adequate notice. Here, overwhelming evidence including unchallenged testimony from the Claimant shows that:

(i) No meaningful consultation occurred.

(ii) No objective matrix for selection was disclosed; persons less senior than the Claimant remained in employment for a period after her termination.

(iii) The Company deviated from the LIFO principle without adducing special circumstances, violating the expectation **in Colgate Palmolive (M) Sdn Bhd V. Yap Kok Foong 3 ILR 313** (**Court of Appeal),** and guided by the Court of Appeal's reasoning in **Ng Chang Seng V. Technip geoproduction (M) Sdn Bhd & Anor [2021] 1 MLRA 261**

(iv) No evidence of alternative roles, redeployment options or voluntary separation schemes was offered to the Claimant.

[80] Industrial court findings in Malaysia underscore that retrenchment and especially redundancy for the Airline cannot be sustained where business or its core functions are demonstrably ongoing, and the selection process is not transparent or uniformly applied. While operational loss may in justified cases allow rationalization of the workforce, the particular facts here point to inconsistency, poor disclosure, and poor industrial practice.

d) Natural Justice and Industrial Harmony

[81] This Honourable Court notes as persuasive the ongoing scholarly and comparative literature emphasizing natural justice as a foundational element in labour dispute resolution, even where formal legal duties are balanced against other practicalities. Both judicial practice and industrial relations literature highlight the centrality of the right to be heard, procedural consistency, and an equitable (not arbitrary) selection for retrenchment in fostering workplace stability and legitimacy. This is especially so in the Malaysian industrial context with its hybrid model of industrial pluralism and evolving workforce flexibility.

Financial Hardship and Good Faith

[82] It is undisputed that the Company faced severe financial distress due to the COVID-19 pandemic. Its witnesses (Head of Finance) testified to massive losses and debt. For example, the Company projected that without urgent cost cuts it would incur an *additional* RM644 million loss in 2021. The audited accounts show Malindo revenue plunged from RM2.52 billion in 2019 to only RM650.5 million in 2020. The Company introduced multiple memoranda (unpaid leave, salary cuts, VSS) from February through October 2020 and did not immediately retrench pilots after the first lockdowns.

[83] In these respects, the Company's case is supported; it clearly needed to reduce costs to survive. Indeed, the Industrial Court in **Luqman Bin Mikail Lim V. Air Asia X (Award NO. 270 OF 2023) and Mohamad Zahid V. Air Asia Sdn Bhd (Award NO. 631 OF 2025)** Recognised that during the pandemic employers could depart from traditional selection processes because of the "unprecedented" crisis.

[84] However, "good faith" under s.30 IRA also requires fair treatment of employees. Here the Company admitted it did *not* pay the Claimant his contractual salary for March to Oct 2020. In cross-examination, the Claimant denied ever applying for any unpaid leave or separation plan. The Company

never produced any signed application from him. Simply withholding wages (while invoking “voluntary” schemes that the Claimant did not join) suggests coercive treatment. By common law, an employer cannot contract out of paying agreed wages during employment. The withholding of pay for 8 months, when the Claimant continued to fly on request, undermines the Company’s plea of *bona fide*.

Redundancy and LIFO Principle

[85] A critical factor in determining the fairness of a retrenchment exercise is the application of the LIFO principle, where the employer must prioritize the retention of longer -serving employees over newer ones.

[86] The Federal Court’s **Dynacraft Industries Sdn Bhd V. Kamaruddin bin Kana Mohd Sharif & Ors [2012] 9 CLJ 21; [2012] 6 MLJ 453**, the Federal Court held as follows:

"[13] We will deal with the first question posed in this appeal. It concerns the correctness of the application of the LIFO principle by the Industrial Court. The LIFO (last in first out) or 'last come first go' principle requires the most junior employee to be retrenched before the more senior ones in the same category. The principle is intended to afford a healthy safeguard against discrimination of workmen in the matter of retrenchment (see

Swadesamitran Ltd V. Their Workmen, 1960 (SC) 762). *Explaining this principle, in* **Workmen of Sudder Workshop of Jorehaut Tea Co Ltd V. The Management of Jorehaut Tea Co Ltd AIR 1980 SC 1454**, *the Supreme Court said:*

"The rule is that the employer shall retrench the workman who came last, first, popularly known as ' last come first go'."

[87] In **Dynacraft 's** case [supra] decision makes clear that *prima facie* the LIFO rule applies, an employer should retrench the latest recruits first, "where other things are equal".

[88] A lawful deviation requires objective justification. The Company argues it departed from LIFO for "performance, safety and disciplinary" reasons. Even if merit-based selection is permitted in principle (as **Wong Zi Chuang V. Air Asia X [2025] 1 ILJ 1 held,** provided it is done bona fide and not arbitrarily), those reasons must be substantiated.

[89] The adjudication of retrenchment disputes in Malaysia is governed by a well-established framework of legal principles derived from the Industrial Relations Act 1967 and judicial precedent.

A. The Definition and Right to Retrench

[92] The term "retrenchment" was authoritatively defined by the Court of Appeal in **William Jacks & Co (M) Sdn Bhd V. S. Balasingam 3 CLJ 235** as:

"The discharge of surplus labour or staff by an employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action."

[93] The Court further held that the right to reorganize business is a managerial prerogative. Provided the decision is made *bona fide* (in good faith), it is immune from interference. However, the Industrial Court is *"duty-bound to investigate the facts and circumstances of a particular case to determine whether that exercise of power was in fact bona fide."*

B. The Burden of Proof

[94] The burden of proof lies squarely on the employer to justify the retrenchment. As held in **Bayer (M) Sdn Bhd V. Ng Hong Pau 4 CLJ 155; 3 MELR 484:**

"On redundancy it cannot be gainsaid that the appellant must come to the Court with concrete proof. The burden is on the appellant to prove actual redundancy on which the dismissal was grounded."

[95] Mere assertions of financial difficulty or reorganization are insufficient; the employer must adduce "concrete proof" of the redundancy and the fairness of the selection.

C. The Principles from Ng Chang Seng' Case

[96] The recent landmark decision of the Court of Appeal in **Ng Chang Seng V. Technip Geoproduction (M) Sdn Bhd & Anor 1 MLJ 447** has significantly raised the bar for employers. The key principles established are:

a) **Selection Criteria:** The employer must provide clear evidence explaining *why* a specific employee was selected over others.

b) **Comparative Evidence:** To prove redundancy and fair selection, the court must look at the employees who were *retained* as well as those retrenched. A failure to produce comparative data is fatal.

c) **LIFO:** To justify a departure from LIFO, clear evidence of special skills possessed by retained juniors must be shown.

d) **Foreign Labour:** Employers should retrench foreign workers before locals unless there are overriding reasons (though less

relevant to the facts here, the principle of rigorous selection scrutiny applies).

D. The Code of Conduct for Industrial Harmony

[97] While the **Code of Conduct for Industrial Harmony** is not a statute, judicial decisions such as *Equant Integration Services* and *Ng Chang Seng* have elevated its status to the "gold standard" of industrial practice. Failure to comply with the Code, particularly regarding consultation and early warning, can be evidence of *mala fides*.

Evidence and Proof on Company's Burden

[98] Having chosen to retrench the Claimant, the Company bore the onus of proof that its stated reasons were genuine. Moreover, by common practice, the Company should have produced documentary justification for its choices. The evidence here suffers from notable gaps:

[99] As the authorities point out, the very person who decides on dismissals *should* testify. In **CJ Polymers Sdn Bhd V. Sim Chin Hu & Ors & Other Appeals [2025] 5 MLRA 473 (CA)**, the Court stressed that failing to call the dismissing authority warrants an adverse inference. By analogy, we find it significant that the people "behind the scenes" were not examined.

EVALUATION AND FINDINGS

[100] The Court has scrutinized the extensive evidence and submissions. The evaluation is structured into four distinct areas:

A. Financial Necessity

B. Selection Criteria and LIFO

C. Adverse Inference and Witnesses

D. Procedural Fairness.

A. Financial Necessity and Bona Fides

[101] The threshold question is whether the Company was in a genuine redundancy situation. The Company paints **a picture of apocalyptic** financial collapse; the Claimant argues the Company was in "recovery" and acted opportunistically.

i. Analysis of Financial Data

[102] The Court has examined the audited accounts (COBD-1) and the testimony of COW-1. The sheer scale of the revenue collapse from RM2.5 billion to RM650 million cannot be overstated. The aviation industry was grounded. The reduction of the fleet from 47 to 15 aircraft creates a prima

facie case of redundancy. Logic dictates that a 68% reduction in aircraft requires a commensurate reduction in pilots.

ii. The "Recovery Mode" Argument in (Osram Opto'case)

[103] The Claimant relies on **Osram Opto Semiconductors (Malaysia) Sdn Bhd V. Ooi Mei Chien [2024] 6 CLJ 716** to argue that the retrenchment was unlawful because the Company's loss margin improved from -153% (Sept 2020) to -110% (Oct 2020). In Osram's [supra] case the Court of Appeal (and recently affirmed by the Federal Court regarding reinstatement remedies) held that retrenchment is not bona fide if the business is on an "expansion mode" with positive growth.

[104] However, this Court finds a material distinction. In ***Osram,*** [supra] the company was expanding and hiring. In the present case, Malindo Airways was not "expanding." An improvement in loss margin from -153% to -110% does not constitute "profitability" or "growth." It indicates that the Company was losing money at a slightly reduced rate but was still technically insolvent.

i. **Fact:** The Claimant's own data shows that in November 2020 (post-retrenchment), the loss worsened to -157%.

ii. **Inference:** This suggests the "recovery" in October was a statistical fluctuation, not a stabilized trend.

Finding: The Court finds that the Company has successfully established a genuine redundancy situation. The financial distress was real, severe, and external. The ***Osram*** **[supra]** principle does not apply because the Company was in survival mode, not expansion mode.

B. Selection Criteria and the LIFO Principle

[105] Establishment of redundancy is only the first hurdle. The second, and often more difficult hurdle, is **Selection**. Why was the Claimant selected? The Company claims it strictly followed LIFO.

C. The Evidence of Selection (COB-2,(2) page 62-65)

[106] The Company relied on Exhibit COB-2 (2) page 62-65 as the definitive "Retrenchment List." However, under cross-examination, COW-2 made startling admissions regarding this document:

i. It contained only names, positions, and hire dates of the *retrenched* staff.

ii. It did **not** contain a comparative list of the *retained* staff.

iii. It lacked any details on skills, disciplinary records, or qualifications.

[107] When pressed by Claimant's counsel on whether he had proof that the Claimant was junior to those retained, COW-2 replied:

"It's impossible to bring them to the Court because there are tonnes and tonnes of paper."

D. The "Tonnes of Paper" Defence

[108] This Court rejects the "tonnes of paper" defence. In a court of law, the burden of proof is static. If an employer asserts LIFO, it must demonstrate LIFO. This requires a Master List showing:

i. All employees in the category (Co-Pilots).

ii. Their dates of joining.

iii. The specific "cut-off" line.

iv. Verification that every person below the line was retrenched and every person above was retained.

[109] The Company failed to produce this Master List. Without it, the Court cannot verify the Company's assertion that the Claimant (Rank 71 on the

retrenchment list) was junior to the last retained pilot. The Court is asked to accept the Company's word without the supporting data.

E. Application of Ng Chang Seng' Case

[110] This evidentiary gap is precisely what the Court of Appeal condemned in **Ng Chang Seng** [supra]. In that case, the failure to produce evidence comparing the claimant to retained staff was fatal to the company's defence. The Court held:

"The company deftly deflected the issue by not producing any evidence as to the number of years of employment of the staff that still enjoyed employment... mere 'say so' fell short of discharging the burden of proof."

[111] Here, the Company has offered "mere say-so" regarding the seniority of the retained pilots.

Adverse Inference and the Missing Witnesses

[112] The evidentiary weakness regarding Selection is compounded perhaps fatally by the issue of missing witnesses.

F. The Materiality of Mr. Muzaffar and Captain Syafiq

i. Mr. Muzaffar: The then-GM of HR, responsible for the retrenchment exercise and signatory to the letters.

ii. Captain Syafiq: A Flight Operations manager identified by COW-2 as the person who compiled the pilot lists and applied the criteria.

[113] COW-2 (Mr. Visvaratnam) admitted during cross-examination that he was in Customer Care at the material time, not HR. He admitted he did not compile the list. He expressly stated that specific questions on selection criteria should be directed to Mr. Muzaffar or Captain Syafiq.

G. The Failure to Call the relevant Witness

[114] The evidence at trial was given only by one Company witness (the present Head of HR, Mr. Visvaratnam) and the finance head. Neither the HR General Manager (Mr. Muzaffar, who was involved in planning retrenchments) although this Honourable Court already gave the instruction to the Company's Counsel on the date of 24 Mei 2024 and 8 November 2024 and 12 December 2024 to file the Witness Statements of Mr. Muzaffar and the other witness Captain Syafiq,but the Company's Counsel did not file the Witness Statement nor anyone from flight operations testified, even though counsel conceded they "would be the best" to explain the criteria.

[115] The record shows that before the continue hearing on 12 December 2024, this Honourable Court granted the Company's application to call these two witnesses, acknowledging their relevance. Despite this, the Company failed to file their witness statements or produce them for trial.

Failure to Call Material Witnesses and Adverse Inference

[116] Procedural History and Non-Compliance. It is a matter of record that this Court had, on three separate occasions, directed the Company's Counsel to file the Witness Statements of its intended witnesses, specifically the decision-makers responsible for the Claimant's dismissal (identified as **Mr. Muzaffar** and **Captain Syafiq**). Despite these repeated opportunities and the Court's clear indulgence, the Company failed to file said statements or produce these witnesses.

[117] The Court's Order Consequently, due to the Company's blatant non-compliance with the Court's directions, this Court was compelled to issue an order prohibiting the Company from calling these witnesses and directed the proceedings to continue with the Claimant's evidence alone. The Company, therefore, stands before this Court without having adduced oral testimony from the primary actors who made the decision to dismiss the Claimant.

[118] Burden of Proof and Adverse Inference In a claim for unfair dismissal under Section 20 of the Act, the burden of proof lies squarely on the employer to prove the misconduct and the justification for dismissal. The Company cannot discharge this burden by merely relying on pleadings or documentary bundles without the oral testimony of the makers to speak to the truth of their contents.

[119] The failure to call **Mr. Muzaffar** and **Captain Syafiq**, who were arguably the material witnesses to the decision-making process, is fatal to the Company's case. This Court is therefore entitled to and indeed does invoke **Section 114(g) of the Evidence Act 1950**, which provides that:
"The Court may presume that evidence which could be and is not produced would, if produced, be unfavorable to the person who withholds it."

[120] Distinguishing the Decision in Syafiq Hamdi Case. The Company attempted to rely on the decision **Syafiq Hamdi** Case to bolster its defense. This Court firmly rejects this reliance. The doctrine of *stare decisis* or the reliance on precedent requires similar facts and, crucially, similar evidentiary weight.

[121] A party cannot rely on a victory in a previous case to cure a lack of evidence in the present trial. In **Syafiq Hamdi,** it appears the issue of missing

material witnesses was not litigated with the same ferocity, or perhaps the necessary proofs were successfully adduced in that specific instance. However, litigation is case-specific. The Company's failure to bring the necessary proof, specifically the testimony of the decision-makers, to *this* specific trial cannot be remedied by pointing to one success in another.

[122] Conclusion on this Issue. Without the testimony of the decision-makers to explain the reason for the termination, to refute the Claimant's evidence of approved leave, or to justify the lack of due inquiry, the Company's defense collapses. The "mind" of the Company was not present in Court to answer the Claimant's case. Accordingly, the Court holds that the Company has failed to prove the grounds for dismissal.

Application of Takako Sakao' case

[123] The legal principle regarding the withholding of evidence is codified in Section 114(g) of the Evidence Act 1950. **The Federal Court in Takako Sakao V. Ng Pek Yuen & Anor 6 MLJ 751** held that if a party fails to call a material witness who could elucidate the facts, the Court is entitled to presume the evidence would be unfavourable.

[124] This is an importance case for adverse inference. The Company relied on a witness (COW-2) who lacked personal knowledge ("hearsay evidence") while withholding the witnesses who had personal knowledge.

i. **Inference Drawn:** The Court infers that had Captain Syafiq and Mr. Muzaffar testified, their evidence would have revealed irregularities in the selection process. It is probable that the selection was not based strictly on LIFO but was influenced by other factors specifically, the Claimant's refusal to sign the LTU or VSS.

[125] Finding: The Company has failed to prove it followed LIFO. The adverse inference destroys the credibility of the "Retrenchment List" (COB-2(2) (p.62-65).

Procedural Fairness and the Code of Conduct

[126] The final limb of evaluation concerns the manner in which the retrenchment was executed.

a) **Notice and Consultation**

[127] The Claimant was notified on 30 October 2020 of his termination effective 1 November 2020. This is a notice period of two days.

[128] The Code of Conduct for Industrial Harmony (Clause 22(a)) mandates "early warning" and consultation. COW-2 admitted under cross-examination that there were "no avenues or channels for employees to discuss with the Company for not being retrenched".

[129] The Company argues that "Town Hall" meetings constituted consultation. This Court disagrees. A Town Hall is a briefing; it is a one-way transmission of information. Consultation implies a dialogue where the employee can propose alternatives (for example, opting for a lower rank, part-time work or extended unpaid leave). The 48-hour notice precluded any such dialogue.

b) The LTU/Bond Waiver Nexus

[130] The Claimant raised a significant issue regarding the Training Bond Waiver. COW-2 admitted that employees who accepted the VSS/LTU had their training bonds waived, while those retrenched (who refused LTU) were potentially still liable or treated differently.

[131] This creates a perception of victimization. It suggests that the "Selection Criteria" was not just LIFO, but also "Compliance." Those who complied with the LTU were safe (and got bond waivers); those who refused were retrenched. This conflation of a temporary measure (LTU) with a permanent selection criterion indicates mala fides (bad faith).

c) The 4-Day Window

[132] The Internal Memo justifying retrenchment was dated 28 October 2020 the termination was 1 November 2020. The Claimant argues this "4-day window" defies reasonable business practice for a retrenchment of this magnitude. The Court agrees. Such haste suggests a pre-determined outcome rather than a deliberative process of selection and consultation.

Distinguishing This Present Case with Syafiq Hamdi's Case

[133] The Company places heavy reliance on **Syafiq Hamdi bin Shushilil Azam V. Malindo Airways Sdn Bhd (Award No. 646 of 2025),** a case arising from the same exercise where the retrenchment was upheld.

[134] The doctrine of stare decisis does not strictly apply to the Industrial Court, though consistency is desirable. However, this Court finds a critical

factual distinction between Syafiq Hamdi and the present case. In Syafiq Hamdi's case, the learned Chairman found:

"No evidence was adduced to suggest that the principle was applied selectively or arbitrarily."

[135] In the present case, the Claimant **has** adduced such evidence or rather, has successfully exposed the **absence** of Company evidence. The successful invocation of the adverse inference regarding the missing witnesses (Mr.Muzaffar and Captain Syafiq) is the turning point. In ***Syafiq Hamdi*****,** it appears the issue of the missing witnesses or the incomplete LIFO list was not litigated with the same ferocity or result. A party cannot rely on a previous victory if they fail to bring the necessary proofs to *this* specific trial. The failure to call the decision-makers in *this* proceeding is fatal, regardless of the outcome in *Syafiq Hamdi*.

Finding on Liability

[136] The Court synthesizes its findings as follows:

a) **Genuine Redundancy:** The Company successfully proved that the pandemic and fleet reduction created a genuine surplus of labour. The Claimant's "financial recovery" argument is rejected.

b) Failed Selection: The Company failed to prove that the Claimant was selected based on LIFO. The failure to produce a Master List of all pilots and the reliance on hearsay evidence (COW-2 (p.62-65) means the Company failed to discharge its burden of proof under **Ng Chang Seng [supra].**

c) **Adverse Inference:** The wilful withholding of material witnesses (Mr.Muzaffar and Captain Syafiq) warrants an adverse inference under Section 114(g) Evidence Act 1950, leading the Court to conclude the selection process was flawed or arbitrary.

d) **Procedural Breach:** The 48-hour notice and lack of individual consultation constituted a breach of the Code of Conduct and principles of natural justice.

Finding Of This Honourable Court

[137] The Court finds the Company has failed to discharge its onus of proof that the Claimant's dismissal was with just cause or excuse under Section 20(1) Industrial Relation Act 1967 [ACT 177]**.**

[138] The plea of closure is unconvincing in light of continued operations, dividends paid, and survival of business infrastructure post-termination date.

[139] There was non-compliance with the Code of Conduct on consultation, retrenchment alternatives, LIFO principle, and objective selection.

[140] The lack of consultation itself constitutes a fundamental breach of natural justice and the duty of industrial fair dealing, as reinforced by authorities.

[141] No evidence was provided concerning the Claimant's performance, conduct, or any reason unrelated to alleged redundancy.

[142] The Claimant, with years of service, was denied his basic industrial rights at the point of becoming most vulnerable.

[143] The dismissal of the Claimant, by the Company, Malindo Sdn Bhd on is declared **without just cause or excuse**.

[144] Pursuant to section 30(5) of the IRA1967 and after having considered the totality of the evidence adduced, this Court is of the view that the Company **had failed to establish on the balance of probabilities** that the dismissal of the Claimant from his employment with the company was with just cause or excuse.

[145] This Court having ruled that the Claimant was dismissed without just cause or excuse, will now consider the appropriate remedy for the Claimant.

Decision

[146] On the balance of probabilities, the Claimant's termination was **not** for a valid redundancy with just cause. In circumstances of a generalized downturn, the Company was entitled to retrench, but it must do so fairly. Here, it failed to follow the usual seniority rule and gave no credible reason for treating the Claimant as surplus.

[147] The Claimant's long service, clean record and refusal to waive pay cuts all point to *mala fides* in selecting him over more junior colleagues. Accordingly, the dismissal was made without just cause or excuse.

[148] This conclusion is compelled by **Ng Chang Seng' Case [supra]** and related authorities, which condemn retrenchments that are in truth punitive exercises in disguise.

[149] This Honourable Court give the order that therefore award relief under Section 20 IRA. Reinstatement is impracticable after many years' separation (and indeed the Claimant did not seek reinstatement). The appropriate remedy is compensation and back wages.

REMEDY

[150] Based on the Court's assessment of the industrial climate between the parties, it is certainly not conducive to reinstate the Claimant as the relationship between the Company and the Claimant has been badly strained. In the circumstances, it is inappropriate to order for reinstatement. Instead, the Claimant will be awarded with an appropriate remedy accordingly.

[151] In respect of the quantum the Court is mindful of the view taken by Tun Salleh Abas FJ in the case of **Hotel Jaya Puri Bhd V. National Company Of Hotel, Bar & Restaurant Workers & Anor [1990] 1 MLJ 109:**

".. if there is a legal basis for paying the compensation, the amount of course is very much a matter of the discretion which the Industrial Court is fully empowered under s.30 of the IRA 1967 to fix."

BACK WAGES

[152] Back wages are calculated based on the Claimant's last drawn salary but limited to 24 months. From the back wages, the court is required to make a deduction for any contributory conduct; post dismissal earnings and delay in the

hearing of the case but such a deduction need not involve a mathematical calculation.

[153] This Court is bound by the principle laid down in the case of **Dr. James Alfred (Sabah) V. Koperasi Serbaguna Sanya Bhd (Sabah) & Anor [2001] 3 Clj 541.**His Lordship Justice Tan Sri Steve Shim CJ (Sabah & Sarawak) in delivering the judgement of the Federal Court held that:

''In our view, it is in line with equity and good conscience that the Industrial Court, in assessing quantum of back wages, should take into account the fact, if established by evidence or admitted, that the workman has been gainfully employed elsewhere after his dismissal. Failure to do so constitutes a jurisdictional error of law. Certiorari will therefore lie to rectify it. Of course, taking into account such employment after dismissal does not necessarily mean that the Industrial Court has to conduct a mathematical exercise in deduction. What is important is that the Industrial Court, in the exercise of its discretion in assessing the quantum of back wages, should take into account all relevant matters including the fact, where it exists, that the workman has been gainfully employed elsewhere after his dismissal. This discretion is in the nature of a decision-making process.''

Contributory Factor

[154] This Court have carefully examined the facts and evidence in this case and of the view that there was no contributory factor on the part of the Claimant. Hence, under this item, there is no deduction shall be made to this contributory factor.

DELAY

[155] From an examination of the notes of proceedings, this Court is satisfied that the Claimant did not occasion any delay in connection with the hearing of this Director General of Industrial Relation of Malaysia reference. Hence, there is no deduction under this head.

[156] At the time of dismissal, the Claimant last drawn basic salary was **RM 9,000.00.** On the facts of this case, **there is no evidence of post- dismissal income after the Claimant was dismissed by the Company**. **Hence, there shall be no deduction under this item**. The Claimant has served the Company for **four (4) years and eleven (11) months and thirteen days(13) , which was from 19.11.2015 until 11 November 2020.**

MONETARY AWARD

[157] After having considered the evidence adduced before this Court as well as the submission by both parties, the remedies are as follows:

i. Back wages for twenty-four (24) months based on the Claimant's last drawn salary:

RM9,000.00 X 24 months = RM216, 000.00

Total = RM216, 000.00

Add

ii. Compensation in lieu of reinstatement, based on the formula of one month's salary for every completed year of service. The Claimant has completed four (4) full years of service calculated from until the date of employment, which was on **19.11.2015 until the date of dismissal on 01.11.2020.**

RM 9,000.00 X 4 months = RM 36,000.00

Total = RM 252,000.00

[158] The monetary award in a total sum of **RM252,000.00** less statutory deductions, if any, shall be paid by the Company to the Claimant via his Counsel **Messrs. Hakim Abdul Wahid & Co**. within 30 days of the award with interest of 8% per annum to be calculated from 30 days of the award until full and final settlement.

[159] This Court verily believe that this Award is just and appropriate in the light of the particular facts of the present case and guided by the principles of equity, good conscience and substantial merits of this case without regard to technicalities and legal forms.

HANDED DOWN AND DATED THIS DAY 17 DECEMBER OF 2025

-Signed-

(ZALINA BINTI HAJI AWANG @ MAMAT)
CHAIRMAN
INDUSTRIAL COURT, MALAYSIA
KUALA LUMPUR